

that to continue to grow it may have to develop further new markets at some future time? It is the company that has both a good rating on the first point and an affirmative attitude on the second that is likely to be of the greatest investment interest.

POINT 3. How effective are the company's research and development efforts in relation to its size?

For a large number of publicly-owned companies it is not too difficult to get a figure showing the number of dollars being spent each year on research and development. Since virtually all such companies report their annual sales total, it is only a matter of the simplest mathematics to divide the research figure by total sales and so learn the per cent of each sales dollar that a company is devoting to this type of activity. Many professional investment analysts like to compare this research figure for one company with that of others in the same general field. Sometimes they compare it with the average of the industry, by averaging the figures of many somewhat similar companies. From this, conclusions are drawn both as to the importance of a company's research effort in relation to competition and the amount of research per share of stock that the investor is getting in a particular company.

Figures of this sort can prove a crude yardstick that may give a worthwhile hint that one company is doing an abnormal amount of research or another not nearly enough. But unless a great deal of further knowledge is obtained, such figures can be misleading. One reason for this is that companies vary enormously in what they include or exclude as research and development expense. One company will include a type of engineering expense that most authorities would not consider genuine research at all, since it is really tailoring an existing product to a particular order—in other words, sales engineering. Conversely, another company will charge the expense of operating a pilot plant on a completely new product to production rather than research. Most experts would call this a pure research function, since it is directly related to obtaining the know-how to make a new product. If all companies were to report research on a comparable accounting basis, the relative figures on the amount of research done by various well-known companies might look quite different from those frequently used in financial circles.